

famous boom between two “depressions”—the yield on 40 utility bonds moved only between 3.9% and 6.3%. At the time the 1940 edition was published, interest rates had been low and fairly steady for years.

Third, it is important to note that several of Graham and Dodd’s warnings against risk taking are directed not at professionals, but at the individual investors who appear to have been the authors’ target audience.

“As a practical matter it is not so easy to distinguish in advance between the underlying bonds that come through reorganization unscathed and those which suffer drastic treatment. Hence the ordinary investor may be well advised to leave such issues out of his calculations and stick to the rule that only strong companies have strong bonds.” (Chap. 6)

“The individual is not qualified to be an insurance underwriter. It is not his function to be paid for incurring risks; on the contrary it is to his interest to pay others for insurance against loss. . . . Even assuming that the high coupon rates [on higher yielding securities] will, in the great aggregate, more than compensate on an *actuarial* basis for the risks accepted, such bonds are still undesirable investments from the *personal* standpoint of the average investor.” (Chap. 7)

Thus concern for the safety of nonprofessional investors appears to be at the root of many of *Security Analysis*’s most rigid dicta. I would not differ with the proposition that direct investment in distressed debt and high yield bonds should be left to professionals. If they want exposure to this market sector—as well as to many others—people lacking the necessary expertise would be best off investing in diversified high yield bond ETFs or some other vehicle for investing passively.

AN EVOLVING MARKET

The investing world is mainly about money, of course. Companies need financing to operate, and in obtaining it they look to minimize cost and maximize flexibility. Investment bankers are in business to aid in that process, for a fee. Investors supply the needed capital, and